

Beneficial Ownership Determination

GUIDELINES

May 29, 2026

BEEM
CREDIT UNION

Document Tracking and Control Table

Policy Owner	Pattie Lamboo – VP Compliance, CAMLO, Risk Management
Approval Date	May 20, 2026
Version	006
Access Level	All Employees
Policy Author	Sandra Makortoff – Manager, Compliance, Risk Management
Subject Matter Expert(s)	Sandra Makortoff – Manager, Compliance, Risk Management Amy Cross – AML Program Manager, Risk Management
Last Full Review Date	May 20, 2026
Update Date (<i>changes were made but a full review was not necessarily conducted</i>)	May 29, 2026
Review Frequency Requirement	Annually
Changes made	Refer to Version History
Stakeholders Impacted	All Employees

Table of Contents

1	Purpose	1
2	Overview.....	1
3	Guidance	2
4	Assessing Beneficial Ownership or Control	2
4.1	Reasonable Measures.....	2
4.2	Beneficial Owners.....	3
4.3	Controlling Persons	3
4.3.1	Individuals with Significant Control.....	4
4.4	Ownership and Control Structure	4
4.4.1	Senior-Most Officer or Manager.....	5
4.5	Governing Bodies or Boards.....	6
4.6	Non-Profit Organizations.....	6
5	Other Considerations	6
5.1	Beneficial Ownership Discrepancy.....	7
6	Recordkeeping	7
6.1	Business Contract	7
6.2	Unusual Activity Report	7
6.3	Service Change Request.....	8
7	Policy References	8
	Version History	8

1 Purpose

This document is intended for all employees who open, maintain, or manage business memberships and related accounts, and provides guidance on beneficial ownership or control obligations under the Proceeds of Crime (Money Laundering) Terrorist Financing Act (PCMLTFA).

Beneficial ownership or control encompasses the ownership, control, and structure of an organization, and applies to:

- Corporations
- Trusts (including widely held or publicly traded trusts)
- Entities other than corporations or trusts (including non-profit organizations and governing bodies or boards)

For operational interpretation of this document, contact the [AML Compliance Department](#).

2 Overview

Under PCMLTFA obligations, employees must always obtain information to substantiate the beneficial ownership, control, and structure of an organization. This applies to both potential, and existing, business relationships between the Credit Union and a member to facilitate financial transactions or provide related services. Understanding the beneficial ownership, control, and structure of our member organizations and legal arrangements is a key element of Know Your Member (KYM) requirements.

This knowledge increases transparency and supports the Credit Union's risk-based approach to identifying:

- Complex structures misaligned with the nature of business
- Involvement of politically exposed persons, listed individuals and entities
- Association with high-risk or prohibited countries, entities, and industries

The date when beneficial ownership is validated must be recorded in the Banking System. If a triggering event occurs and the validation date is blank, or dated more than 12 months ago, the beneficial ownership details must be reviewed and updated accordingly. Throughout this document, the terms organization and entity are used interchangeably.

3 Guidance

All business memberships, and similar non-membership arrangements, must be opened and maintained in accordance with overarching Credit Union policies that pertain to business memberships, and any subordinate business guidelines.

This document is a supplement to, and should be read with, the relevant Business Membership Guidelines documents below, which provide guidance on a specific organizational structure and related documentation requirements. Refer to the applicable organizational membership guidelines for details on the supporting documentation to be collected to review, verify, and record the ownership, control, and structure:

- [Business Trust Membership Guidelines](#)
- [Corporate Membership Guidelines](#)
- [Joint Venture Arrangement Guidelines](#)
- [Partnership Membership Guidelines](#)
- [Personal Trust Membership Guidelines](#)
- [Incorporated Society Membership Guidelines](#)
- [Unincorporated Association Membership Guidelines](#)

4 Assessing Beneficial Ownership or Control

According to Canada’s Ministry of Finance, corporations are highly susceptible to financial crime as they can be structured to mask beneficial ownership and be used to launder illicit funds. An entity’s money laundering and terrorist activity financing (ML/TF) vulnerability can vary, based on the corporate structure. This underscores the Credit Union’s responsibility to determine, identify, and record beneficial ownership, control, and corporate structure information.

Opaque or overly complex corporate structures can increase the potential ML/TF risk for the Credit Union. As such, an overall risk assessment should also be performed while ascertaining and verifying the ownership, control, and structure for these organizations.

4.1 Reasonable Measures

The Credit Union must take *reasonable measures* to identify, confirm the accuracy, and record the beneficial owner(s), controlling person(s), and corporate structure of any organization with which we hold a Business Relationship. This must be done at membership or account opening, during ongoing monitoring, or with specific triggering events—refer to the [Triggering Events Guidelines](#) for further details. The greater the depth of the Business Relationship, the greater the responsibility the Credit Union holds to ensure we understand the ownership, control, and structure.

Reasonable measures may include, but are not limited to:

- Asking the Member
- Conducting open-source searches
- Consulting commercially available information

4.2 Beneficial Owners

A Beneficial Owner is a natural individual who owns, directly or indirectly, 25% or more of an organization. Ownership can be direct in which the individual directly owns the organization at the 25% threshold, or indirectly where the individual owns the business through an intermediary or several intermediary organizations.

A Beneficial Owner may not necessarily have legal control of an entity. Beneficiaries for a trust are its Beneficial Owners.

All Beneficial Owners must be recorded on the *Beneficial Ownership Declaration form* in the specific business contract relevant to the type of organization; and must be recorded in the Banking System per the [New Business Membership Procedures](#).

The following information must be recorded in the Banking System:

- Legal name
- Address
- Role within the entity
- Ownership percentage

4.3 Controlling Persons

A Controlling Person is a natural individual who controls, directly or indirectly, 25% or more of an organization.

Control can be direct in which the individual holds a position of authority to direct the activities of the organization such as a director, partner, or officer. Control can be indirect in the case of an individual with the power to appoint or elect another individual to a position of authority within the organization such as a majority shareholder or majority limited partner; or to influence a key individual with legal control over the organization.

Trustees are the controlling persons of a trust.

All Controlling Persons must be recorded on the *Beneficial Ownership Declaration* form in the business contract specific to the type of organization; and must be recorded in the Banking System per [New Business Membership Procedures](#).

The following information must be recorded in the Banking System:

- Legal name
- Address
- Role within the entity
- Control percentage

4.3.1 Individuals with Significant Control

An individual with significant control is someone who owns or controls a federal corporation and meets the criteria below, or a combination of any of the following factors.

Criteria:

- Owns, controls or directs 25% or more of shares individually, [jointly](#) or [in concert](#) with one or more individuals
- Has control over the corporation without owning any shares

Individuals in this position, hold the capacity to affect the economics, operations and day-to-day management of a corporation.

4.4 Ownership and Control Structure

The structure of ownership and control must be identified and recorded to appropriately determine beneficial ownership and control.

In cases where the business is owned through an intermediary or several intermediary organizations, the Credit Union must assess and determine the direct ownership or control of those intermediaries until we have identified the individual(s) who has ultimate beneficial ownership and control.

In cases where no natural individual ultimately owns and/or controls 25% or more of the business, the Credit Union must record the supporting documentation substantiating that determination and identify and record the [Senior-Most Officer/Manager](#).

Refer to the appropriate [organizational guideline](#) for specific direction on identifying ownership or control.

All organizations which directly own the business must be recorded in the Banking System per the [New Business Membership Procedures](#).

The following information must be recorded in the Banking System:

- Name
- Organizational Type
- Address
- The individuals or entities which are its direct owners and control

4.4.1 Senior-Most Officer or Manager

When the Credit Union is unable to ascertain or verify beneficial ownership and/or control, or if it is determined that no individual owns and/or controls 25% or more of the entity, the Credit Union may look to identify the Senior-Most Officer or Manager. The individual who holds this position – typically the Chief Executive Officer (CEO) – is ultimately responsible for the operations of the business. If the business does not have a CEO, the person who substantially performs the function may be considered the Senior-Most Officer or Manager.

The Senior-Most Officer or Manager is required to sign the *Chief Executive Officer Statement*.

The following must be recorded in the Banking System per the [New Business Membership Procedures](#).

The following information must be recorded in the Banking System:

- Legal name
- Address
- Identification documentation per the [Identity Verification Guidelines](#) and [Identity Verification Procedures](#)
- Role within the entity
- PEP/HIO determination in accordance with the [Politically Exposed Person and Head of International Organization Determination Guidelines](#)
- The reason the beneficial ownership was not obtained must be recorded in the Banking System

This method requires a second-line review and approval prior to proceeding, given the increased risk from potential unidentified beneficial owners. The completed *Chief Executive Officer Statement* must be submitted to the [AML Compliance Department](#) for a risk assessment prior to membership opening, or service change request. The AML Compliance Department may deem the membership as high risk with enhanced due diligence (EDD) measures required.

4.5 Governing Bodies or Boards

Governing Bodies or Boards have individuals appointed as directors by the shareholders or members of an entity to act as their representatives.

All directors must be recorded on the *Beneficial Ownership Declaration* form in the business contract specific to the type of organization; and recorded in the Banking System per the [New Business Membership Procedures](#).

The following information must be recorded in the Banking System:

- Legal name
- Address
- Role within the entity (director)

4.6 Non-Profit Organizations

The beneficiaries of non-profit organizations and charities are its benefactors who do not have a direct legal ownership relationship with the organization.

All non-profit organizations must be verified as:

- A charity registered with the Canada Revenue Agency under the *Income Tax Act*; or
- An organization, other than one referred to above, that solicits charitable donations from the public

This information must be recorded in the membership contract and verified as a registered charity with the Canada Revenue Agency by consulting the [Government of Canada](#) list of charities. Refer to the [High-Risk, Prohibited, and Restricted Memberships Policy](#) for further information regarding permitted non-profit organizations.

5 Other Considerations

Under some circumstances, the information obtained from the member may indicate there is no individual who directly or indirectly owns or controls 25% or more of a corporation, a widely held or publicly traded trust, or entity other than a corporation or trust. This differs from being **unable** to obtain beneficial ownership information.

Refer to the [Senior-Most Officer or Manager](#) section for further information and requirements.

5.1 Beneficial Ownership Discrepancy

Due to legislative changes, the Credit Union now holds additional obligations for any federally incorporated members which are deemed high-risk by the Credit Union. During the ongoing monitoring of any applicable high-risk business relationships, the Credit Union is required to compare the beneficial ownership information collected from the member with the information recorded in the [Corporations Canada](#) database. If a discrepancy is identified, notify the [AML Compliance Department](#).

The AML Compliance Department is responsible for determining if a discrepancy is deemed to be material in nature, and the subsequent filing of any Beneficial Ownership Discrepancy Reports, as required.

6 Recordkeeping

The Credit Union must keep a record of all evidence and documents used to support its assessment of the beneficial ownership, control, and structure of an entity.

This includes evidence and documents used in any attempt to assess the beneficial ownership or control, for the following:

- Corporations
- Trusts (including widely held or publicly traded trusts)
- Entities other than corporations or trusts (including non-profit organizations and governing bodies or boards)

In the case of a trust, the legal name, address, and role must be documented for all trustees, known beneficiaries, and settlors. Furthermore, the type or structure of the trust must also be captured—for example spousal trust. The information must be recorded in the Banking System.

6.1 Business Contract

Refer to the applicable [business membership guidelines](#) to determine which business contract form must be completed and signed by the applicant.

6.2 Unusual Activity Report

If an applicant refuses to provide evidence or answer questions regarding beneficial ownership, control, or structure of an organization, the employee involved is required to complete and submit an [Unusual Activity Report \(UAR\) Form](#). Refer to the [Unusual Activity Reporting Guidelines](#) and [Unusual Activity Reporting Procedures](#) for guidance on completing an [Unusual Activity Report \(UAR\) Form](#).

The UAR must be completed without informing the applicant, or member, and submitted to the [AML Compliance Department](#) within 24 hours of the event.

6.3 Service Change Request

Any change in ownership, control, or structure of a business membership must be updated at [Triggering Events](#) and when the Credit Union becomes aware of a change. Refer to the applicable [business membership guideline](#) to determine individuals with the authority to make such changes, and the required supporting documents and forms.

7 Policy References

[Regulatory Compliance Management Policy](#)

[Foreign Tax Residency Policy](#)

Version History

DATE	VERSION	CHANGE
May 29, 2026	006	Sections Added: • Individuals with Significant Control • Other Considerations • Beneficial Ownership Discrepancy Sections Updated: • Purpose • Overview • Guidance • Assessing Beneficial Ownership or Control • Reasonable Measures • Senior Most Officer or Manager • Record Keeping SME added – Amy Cross
January 9, 2026	005	Updates to required record keeping obligations for directors, owners and controllers.
September 24, 2025	004	Hyperlink updated: • Business Trust Membership Guidelines

DATE	VERSION	CHANGE
August 25, 2025	003	Version History Table added Hyperlinks added: • Foreign Tax Residency Policy • Foreign Tax Residency Guidelines
June 23, 2025	002	Removed legacy links and added harmonized links & removed reference to legacy CU process where relevant
April 22, 2025	001	Initial Version Created